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G10 FX Strategy

Caution: Yen at Work

Joint US-Japanese intervention can buy time for the JPY but doesn't change fundamentals – that requires lower US rates and/or faster BoJ tightening. Near-term FX spillovers are likely limited. Stay overweight Japanese equities despite intervention.

Key Takeaways

- Joint US-Japan JPY intervention has squeezed JPY shorts, but a sustainable USD/JPY drop requires a shift in US rates.
- Spillover to the broader USD should be limited, but lingering questions on US FX policy and investor debate around the credibility of Fed policy are key USD-negative risks to watch.
- Intervention suggests risks of a faster and earlier BoJ tightening; October remains our base case for the next BoJ hike but September is a clear risk.
- USD/JPY's current fair value is 165-167, but falling US rates as we expect sees that fair value fall to 155 over time.
- Stay O/W on the TOPIX despite the FX intervention; the bigger risks come from a global slowdown, geopolitical escalation, and/or higher energy prices.

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Executive Summary

The recent coordinated intervention between US and Japanese authorities to strengthen the JPY has caught global market attention. This note seeks to summarize what happened, why it happened, and what it means for Japanese assets and the FX market going forward.

What happened? The Japanese Ministry of Finance (MoF) conducted FX interventions on July 30 and 31, selling an estimated \$85bn of USD/JPY over the two-day period. Japan has intervened in the FX market before in recent years including 2022, 2024, and most recently in spring of 2026. But this intervention was more material in several ways:

- **Coordinated:** Unlike previous interventions, this action was taken in coordination with the US Treasury
- **Signalled:** This intervention was [formally confirmed by both policymakers](#), contrasting with prior intervention where confirmation was only evident in official data released after the fact
- **Financing and future intervention:** [Language from the MoF](#) suggests that future interventions could be financed using the NY Fed's FIMA repo pool, which both raises market expectations for future action and helps limit concerns over volatility in the US Treasury market

Why did Japan intervene, and why did the US participate? While not formally confirmed, we believe the trigger and primary purpose of FX intervention is to squeeze 'speculative' positions and to discourage rapid, one-way, and potentially disorderly market moves.

The participation of the US Treasury is a new phenomenon and we think is related to an imported tightening in local financial conditions, i.e., higher long-end US yields. If volatility in the JPY is helping to trigger volatility in the US Treasury market, then action to calm the JPY may have the reverse effect.

What determines JPY's fair value, and where does it go from here? FX intervention is a temporary, flow-driven measure that influences the market price, but not the currency's fundamentals.

Our fair value model uses three factors: the pricing of the US terminal rate, global risk sentiment, and Japan's terms of trade. **We estimate a current fair value of 165-167**, but we expect this fair value to fall over time.

Why should USD/JPY's fair value fall? We forecast no hikes from the Fed, below market consensus and market pricing, chiefly because we expect a faster pace of disinflation than consensus. Fading tariff pass-through, continued shelter disinflation, seasonal moderation in core services, and softer underlying labor market dynamics suggest lower inflation than the overstated inflation forecasts from June FOMC.

Continued evidence of disinflation as we expect can see Fed pricing adjust from ~4.15% to about 3.5% with 7s30s steepening at least a further 30bp, which **brings USD/JPY's fair value toward 155**.

A materially stronger JPY below 155 requires markets to price in a deflationary shock (akin to the ["Defense Regime" of our USD framework](#)).

How does this impact the BoJ outlook? According to our economists, a coordinated US-Japan intervention may suggest the Prime Minister's office could be more willing to accommodate a faster pace of rate hikes, all else equal, particularly where tighter policy aligns with US concerns around JPY weakness, rising long-end yields, and the spillover to foreign markets.

Our economists have brought forward their expected timing of rate hikes to October 2026 (to 1.25%) and March 2027 (to 1.50%). The BoJ's July communications laid the groundwork for a faster pace of hiking, though they think October is more likely than September as it provides a broader range of information, including comprehensive inflation data, inflation expectations, and financial conditions, thereby providing a firmer basis for the BoJ's rate hike rationale.

What does JPY intervention mean for broader FX? Past JPY interventions in recent years have seen little spillover to other currencies. The likely near-term implication is that investors **rotate funding their carry trades in JPY instead to another currency – in our view, the EUR.**

But more broadly, investor debate around the credibility of Fed policy and US currency policy both have the capacity to weigh on the broader USD via negative risk premium. The use of EUR/JPY by the US Treasury, rather than USD/JPY, could be interpreted by markets as greater tolerance for USD weakness. But investor debate around the credibility of Fed policy remains a key USD-negative risk to watch.

Maintain overweight on Japanese equities despite FX intervention: We maintain our bullish, overweight view on Japanese equities with a mid-2027 **TOPIX target of 4,300, implying roughly 8% upside** from here.

The biggest risk to Japanese equities comes not from FX intervention but from a global slowdown, geopolitical escalation, and/or higher energy prices. Our forecasts already assume a USD/JPY level in the low 150s and, with the TOPIX trading at roughly 15.6x forward earnings, we believe valuations and the earnings outlook remain attractive for gains.

Fed balance sheet facilities: We think explicit reference to plans to utilize the FIMA repo facility by Japan's Ministry of Finance enhances deterrence against "speculative" positioning in USD/JPY, but the opportunity costs of using the facility rather than deploying existing FIMA reverse repo pool balances makes material utilization less likely.

The recent JPY FX market development: What's triggered the joint FX intervention?

Koichi Sugisaki and Hiromu Uezato

The Japanese yen has significantly outperformed over the past few days, suggesting that the authorities may have intervened in the FX market. The changes in the government's deposits at the Bank of Japan versus money market brokers' forecast of them suggest that Japan might have conducted [around JPY 8.5trn, or USD 53bn, of yen-buying intervention on July 30](#) and [around JPY 5.0tn, or USD 32 bn, of yen buying intervention on July 31](#).

Some media reports also [indicated](#) that the US Treasury conducted a rate check at the same time. Reports then [suggested](#) that on July 31, not only Japan's Ministry of Finance but also the US Treasury might have entered the FX market by selling EUR and buying JPY. USD/JPY has consequently fallen from around 164 on Thursday to close to 157.

On August 3, both the [Japanese](#) and the [US](#) authorities officially acknowledged carrying out the FX intervention, and suggest further joint FX intervention if needed. [Exhibit 1](#) describes the recent media headlines with regards to the possible JPY FX intervention.

Exhibit 1: The newsflow related to possible JPY FX intervention

Date time	Development
July 30, around 10:30 p.m. (JST) onward	The dollar fell sharply from approximately ¥163–164 to below ¥158, while the yen appreciated by as much as 3 percent. The speed, size and trading volume of the move prompted widespread unconfirmed reports that Japan had entered the market to buy yen and sell dollars. During the same period, the Federal Reserve Bank of New York reportedly conducted a dollar-yen rate check on behalf of the US Treasury. Treasury Secretary Scott Bessent said that the yen appeared substantially undervalued (see this).
July 31, early morning	Reuters reported , citing a market source, that the Japanese government had conducted a yen-buying and dollar-selling intervention during New York trading hours on July 30. Subsequent estimates put the possible scale at approximately ¥8.45 trillion, or \$52.8 billion, according to the Financial Times, and as much as \$58.97 billion based on Bank of Japan data cited by Reuters.
July 31, Tokyo morning	Finance Minister Satsuki Katayama and Vice Finance Minister for International Affairs Atsushi Mimura declined to confirm whether Japan had intervened. Mimura nevertheless said that Japan was receiving support from the US authorities that went “ beyond mere moral support ” and indicated that Japan was also coordinating with partners other than the United States (see this).
July 31, shortly after the BOJ decision and Governor Ueda’s press conference	The yen rose sharply again. Market participants suspected that the move may have represented another round of Japanese yen purchases . Mimura said that, as the official responsible for currency policy, he intended to respond in close coordination with monetary policy.
July 31, US morning / late evening in Japan	The U.S. Treasury reportedly informed a number of banks that it might intervene in the yen market and instructed them to stand ready for future action. The notice was delivered before a Reuters photograph of Bessent’s notebook was taken later that morning.
July 31, US trading hours / early August 1 in Japan	The Financial Times reported that the New York Fed, acting for the U.S. Treasury, sold euros and bought yen , and US officials were in contact with European Central Bank officials. The amount was not disclosed.

Source: Various media news reports, Morgan Stanley Research

What triggered the FX intervention?

As discussed in “[What Does USD/JPY > 160 Mean for Japan’s Economy and Equity Markets?](#)”, the purpose of FX intervention is to squeeze positions that the authorities judge to be “speculative” and to discourage rapid, one-way market moves.

The Ministry of Finance therefore typically monitors hedge fund and other investor positioning through market soundings, CFTC data, and related sources. When it concludes that positioning has become excessively one-sided, it seeks to clear those positions out of the market.

For the first intervention in a sequence, the authorities usually issue verbal warnings before deploying actual funds. In particular, when officials explicitly characterize recent market moves as “speculative,” markets have historically treated that language as a signal that intervention is approaching.

However, consistent with [press reports](#), we think the authorities may have deliberately avoided signaling the operation this time so that the market would lower its guard. The first intervention seemingly took place one day before the BoJ meeting.

Many investors likely expected intervention if USD/JPY rose after the meeting. Few, however, appear to have anticipated an operation before the meeting, meaning timing appears to have surprised market participants.

[Reports](#) also indicate that the US Treasury intervened through EUR/JPY on July 31. US formal participation in interventions is rare, and so participation is a clear signal of intent (see [our FX intervention playbook](#)).

If it is true, the possible decision to sell EUR/JPY suggests that the authorities learned from the previous episode. By avoiding use of the USD, they reduced the risk of raising uncomfortable questions about a change in US FX policy.

Moreover, another possibility raised was that speculative JPY shorts had migrated away from USD/JPY and into crosses against currencies such as EUR and AUD, where the direction of monetary policy points more clearly toward further rate hikes. Using EUR/JPY rather than USD/JPY may therefore have offered a more efficient way to squeeze JPY-short positions (see [Exhibit 2](#)).

Why would the US Treasury cooperate?

As discussed in "[Linking the JPY Carry Trade to JPY Weakness](#)", the US Treasury's key concern is the rise in US Treasury yields, particularly in the ultra-long sector. Because yields in this part of the curve link closely to mortgage rates, housing and long-end rates have political salience.

The US Treasury appears particularly concerned when external factors push yields in this sector higher via anticipation about repatriation by Japanese investors as well as expectations that the Ministry of Finance might need to sell US Treasuries to fund the intervention.

[Reports](#) that the government has encouraged the GPIF to increase its allocation to domestic assets have made US officials particularly attentive to the behavior of Japanese institutions, in our view.

Regardless of whether actual repatriation occurs, the authorities appear wary that speculative investors may use that narrative to sell US Treasuries (see [Exhibit 3](#)).

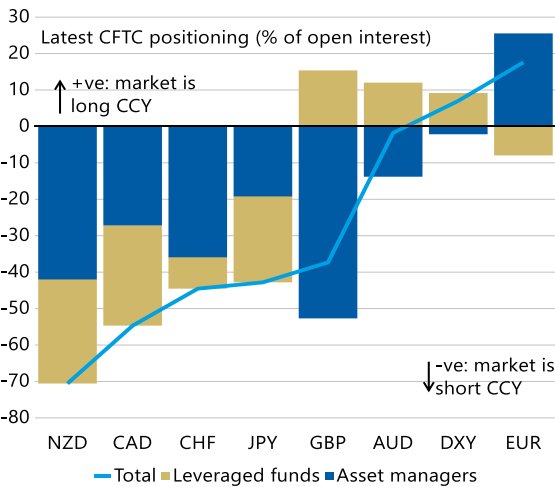
The official [announcement](#) of utilizing FIMA repo facility in the future to finance USD cash might be to discourage unconfirmed reports of the MoF's active selling in US Treasuries.

With regards to JGB market, two concerns have driven the rise in Japanese long-term yields: **fiscal risk and concern that the BoJ is falling behind the curve**. JPY depreciation has contributed particularly to the latter concern. The BoJ has also started to focus more clearly on behind-the-curve risk.

The Bank has recently strengthened both its hawkish communication and its verbal checks on the FX market. Against that backdrop, the US may have decided to assist Japan in an effort to stabilize Japanese long-term yields through the FX channel.

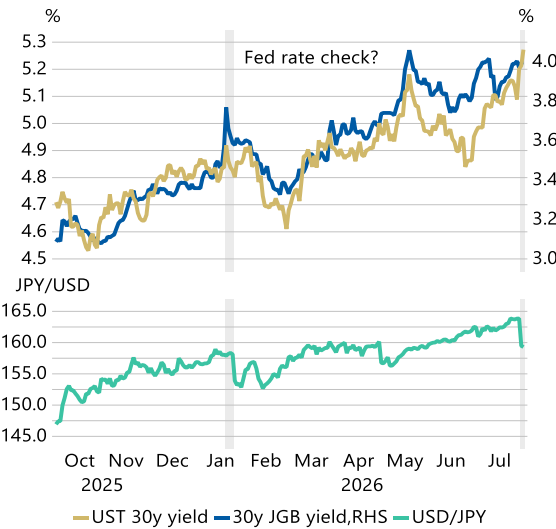
Actual US intervention should also have strengthened the market's perception of US/Japan's strong commitment to defending the JPY. **The objective may be to buy time through intervention and bridge the market toward earlier BoJ policy normalization.**

Exhibit 2: CFTC non-commercial positioning by each G10 currency



Source: CFTC, Macrobond, Morgan Stanley Research Data as of Tuesday July 28

Exhibit 3: 30y UST yield, 30y JGB yield and USD/JPY



Source: Morgan Stanley Research, Bloomberg

What determines JPY's fair value and where does it go?

Koichi Sugisaki and Hiromu Uezato

As noted in "[Will Japan's Ministry of Finance Intervene in FX Markets?](#)", **we view FX intervention as no more than a temporary flow-driven factor – a measure designed to buy time until the fundamental drivers of JPY weakness begin to change.**

Although Japan and the United States intend to work together to address the JPY's depreciation, we believe **it is unlikely that Fed officials would move to cut interest rates for that purpose while inflation in the United States remains well above 2%.**

On the other hand, as discussed in "[What Does USD/JPY > 160 Mean for Japan's Economy and Equity Markets?](#)", we believe that as long as concerns persist that the BoJ is falling behind the curve, even further rate hikes will have only a limited effect on USD/JPY.

Indeed, USD/JPY has recently exhibited a positive correlation with BoJ rate pricing, suggesting that the traditional transmission channel via interest rate differentials does not appear to operate effectively when driven by Japanese rates (see [Exhibit 4](#)).

Given that the market currently prices in 1.75%-2% of terminal rate for BoJ, we see rate hikes near those levels as required to overturn the broad perception of the BoJ remaining behind the curve.

As such, while additional intervention by both Japanese and US authorities remains possible in the near term, **we do not believe FX intervention itself is sufficient to reverse the broader trend of JPY weakness without the change in fundamental drivers.**

We estimate USD/JPY fair value using three variables: **first**, market pricing of the US terminal rate; **second**, global risk sentiment; and **third**, Japan's terms of trade. The USD/JPY level is well below the fair value implied by these variables of 165-167 (see [Exhibit 5](#)).

We believe this valuation gap should make investors more willing to buy USD/JPY. **Unless the underlying drivers change, the pair is likely to grind higher again, in our view.**

The main focus from here remains US economic data and how they change expectations for Federal Reserve (Fed) policy and global risk sentiment.

At the July Federal Open Market Committee (FOMC) meeting, the Fed left the policy rate unchanged. Chair Warsh reiterated a strong commitment to returning inflation to the 2% target. However, he did not provide a clear explanation for keeping policy rate unchanged while core Personal Consumption Expenditures (PCE) inflation remained well above 2%.

As a result, doubts about the Fed's commitment to controlling inflation led the US Treasury curve to steepen sharply after the press conference. See [US Economics and Fixed Income Strategy: July FOMC Reaction: A question of credibility \(30 Jul 2026\)](#).

A slower near-term hiking path and the tightening of financial conditions following the FOMC meeting both place downward pressure on our USD/JPY fair-value estimate.

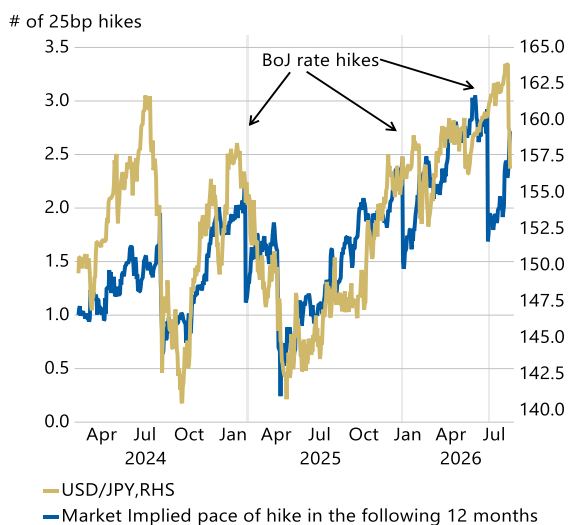
Our economists [expect](#) inflation to face downward pressure as the effects of tariffs and higher crude oil prices fade, allowing the Fed to avoid further rate hikes. If incoming inflation data show further and sustained deceleration, we think the market would likely

reprice US terminal rate pricing lower, putting additional downward pressure on USD/JPY.

However, it will take some time to confirm a sustained sequence of softer inflation readings. Until that evidence emerges, the market is unlikely to price a large decline in the US terminal rate, in our view. If our economists' view for the future Fed rate hike path would be fully priced in the market and all else equal, **we see USD/JPY fair value declining towards 155.**

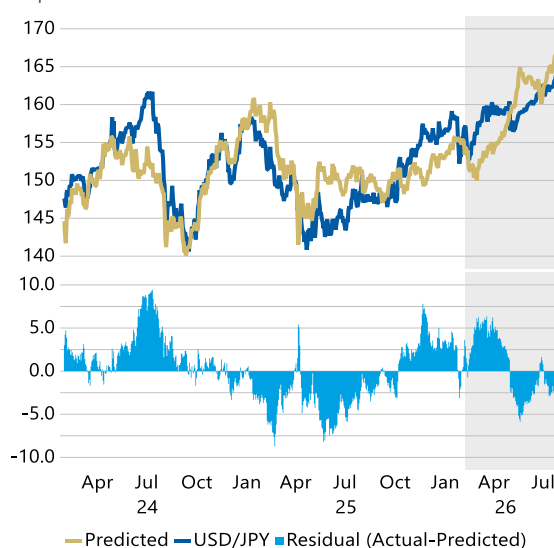
In other words, it would be highly unlikely for USD/JPY to go materially lower from here unless the market prices in a decent probability of a US recession that is long enough to bring US inflation down below 2% (so-called "Defense Regime" on our USD framework).

Exhibit 4: USD/JPY versus market-implied pace of BoJ rate hike in the following 12 months



Source: Morgan Stanley Research, Bloomberg

Exhibit 5: USD/JPY and its fair value implied by US terminal rate pricing, global risk sentiment, and Japan's terms of trade



Source: Morgan Stanley Research, Bloomberg

The Evolving Environment for BoJ Policy Normalization

Takeshi Yamaguchi, Masayuki Inui

A changing policy environment

One implication of the political process that culminated in the recent US-Japan coordinated FX intervention is that the political environment for further BoJ tightening may be becoming more supportive. We had previously assumed that even if the BoJ attached increasing importance to upside risks to underlying inflation in a forward-looking manner, translating those risks into actual policy action could take some time, given the need to build understanding within the Prime Minister's Office. Our previous view was that the current administration, which places a high priority on economic growth, would need to see sufficiently compelling evidence from the BoJ before becoming comfortable with a faster pace of BoJ rate hikes.

That said, we believe the likelihood is increasing that the PM's Office would accommodate a faster pace of BoJ rate hikes than the gradual semiannual pace previously assumed. This would be particularly true if such an approach were viewed as consistent with US policy preferences, given Japan's strong emphasis on the US-Japan alliance as a cornerstone of its foreign policy.

Regarding the recent coordinated FX intervention, we believe US Treasury market considerations may also have played a role in the US decision-making process. Treasury Secretary Bessent suggested in August 2025 that the BoJ was "behind the curve". He also stated in October 2025 that "the government's willingness to allow the Bank of Japan policy space will be key to anchoring inflation expectations and avoiding excessive exchange-rate volatility."

From this perspective, a weaker yen could give rise to two concerns. First, further yen depreciation could push up Japan's inflation expectations, putting upward pressure on JGB yields, with potential spillovers to US Treasury yields. Second, repeated Japanese FX intervention could lead markets to become increasingly concerned about potential sales of US Treasury holdings from Japan's FX reserves, creating additional upward pressure on US Treasury yields.

If this assessment is correct, the political constraints that have traditionally been viewed as a key obstacle to faster monetary policy normalization may become less binding going forward. Indeed, judging from the BoJ's policy stance at the July policy meeting, the central bank appears to be moving in a direction that could shorten the interval between rate hikes from the roughly six-month pace that had previously been the norm.

Exhibit 6: Recent comments on Japan's monetary policy by US Treasury Secretary Scott Bessent

Date	Comment	Source
Aug. 13, 2025	"My opinion, not his — they're behind the curve. So they're going to be hiking."	Bloomberg Television interview
Oct. 29, 2025	"The government's willingness to allow the Bank of Japan policy space will be key to anchoring inflation expectations and avoiding excess exchange rate volatility."	X (post after meeting FM Katayama)
May 19, 2026	"I think he's an excellent central banker, and if they will give him the room to do what he will do, needs to do, I am confident that they will have great monetary policy."	Reuters interview, G7 finance chiefs' meeting, Paris
May 11, 2026; reported Jun. 17, 2026	According to Nikkei Asia, Bessent told Finance Minister Katayama that it would be better to raise rates sooner rather than later; delaying could require larger hikes later and inflict greater damage on the economy and markets.	Nikkei Asia
Aug 1, 2026	"I look forward to seeing my longtime friend, Bank of Japan Governor Ueda, at the G20 Finance Ministers Meetings in the beautiful Blue Ridge Mountains city of Asheville, North Carolina, at the end of August. Japan's economy continues to perform well under Prime Minister Takaichi, Governor Ueda, and the Bank of Japan Board, which has demonstrated a strong commitment to monetary and financial stability. We continue to enjoy a strong relationship and close coordination."	X (post after coordinated FX intervention)

Source: Bloomberg, Reuters, X, Morgan Stanley Research

Our updated BoJ call: Frequently-asked questions

What is our latest BoJ forecast?

Based on the July Outlook Report and Governor Ueda's press conference following the July Monetary Policy Meeting, we have brought forward the timing of our expected BoJ rate hikes. Specifically, we now expect the BoJ to raise the policy rate to 1.25% in October 2026 and to 1.50% in March 2027, compared with our previous forecasts of December 2026 and June 2027, respectively.

What changed at the July Monetary Policy Meeting?

Governor Ueda's communication was hawkish, including his comment that "if the Bank judges that financial conditions are too accommodative, it could accelerate the pace of rate hikes." The Outlook Report also struck an overall hawkish tone in its discussion of monetary policy conduct. It not only reiterated the risk that underlying inflation could overshoot the 2% target, but also newly added references to expanding AI-related demand and exchange rate developments. Our impression is that the BoJ has begun laying the groundwork for raising rates at a faster pace than the previous semiannual rhythm.

Why do we expect the next rate hike in October rather than September?

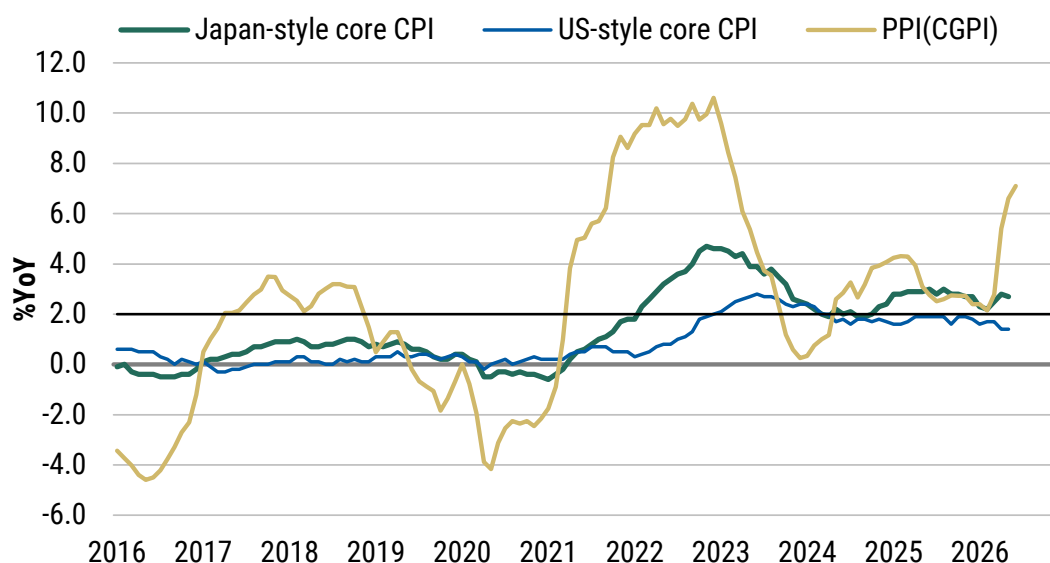
Although PPI inflation is running above 7%, pass-through to final prices has only just

begun, and we think the BoJ will need to confirm CPI developments through 3Q26. At the time of the September Monetary Policy Meeting on September 17-18, the BoJ will only be able to assess data through the August nationwide CPI, which is scheduled for release on September 18. A September hike would therefore require the BoJ to act in a more forward-looking manner.

By waiting until the October meeting on October 29-30, the BoJ would have access to data through the October Tokyo-area CPI, scheduled for release on October 30. Many indicators related to medium- to long-term inflation expectations, funding demand and banks' lending attitudes are available only on a quarterly basis, with the next set of readings available in October. In addition, if the BoJ were to hike in September, markets could begin pricing a quarterly pace of rate hikes, with subsequent moves in December and March, potentially generating unintended market repercussions.

That said, it is difficult to completely rule out a September rate hike. We will continue to monitor BoJ communication closely, including Deputy Governor Himino's speech on August 27.

Exhibit 7: Japan's Producer Price Index (Corporate Goods Price Index; excluding consumption tax) vs. Japan-style core CPI (excluding fresh food and institutional factors) and US-style core CPI (excluding food, energy and institutional factors) (YoY %)



Source: BoJ, MIC, Morgan Stanley Research

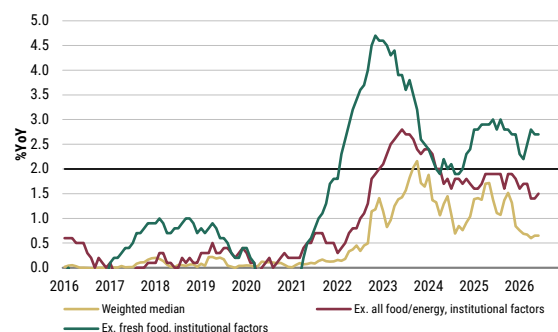
Do we agree with the BoJ's view that underlying inflation risks overshooting 2%?

We do not fully agree that underlying inflation is as strong as the BoJ suggests. The momentum of April price revisions was not particularly strong, and private services inflation in the CPI, excluding a few categories such as dining out, remains relatively stable.

BoJ's Japan-style core CPI (excluding fresh food and institutional factors) remains above 2%, but the contribution from components excluding food and energy has remained around 1%. As for the exchange-rate impact, if the yen remains broadly stable around current levels, the year-on-year increase in import prices should decelerate rapidly in the

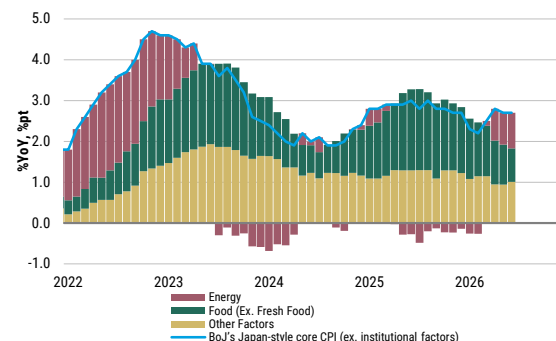
second half of the year. Even if the yen were to weaken again to ¥170 per dollar, the resulting boost to inflation would likely be smaller than during the 2022-23 episode. Moreover, rice, a staple food for which inventories have accumulated substantially, is acting as an anchor on overall food price inflation.

Exhibit 8: BoJ's favorite measure of Japan-style core excluding institutional factors remain above 2%YoY: CPI ex. fresh food and institutional factors vs. US-style core and weighted median CPI



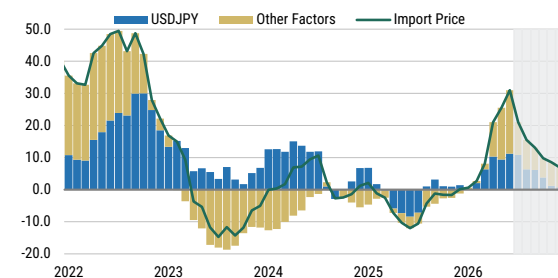
Source: Bank of Japan, Morgan Stanley Research

Exhibit 9: Yet energy and food accounted for about 60% of the overall increase: Decomposition of YoY growth in the BoJ's Japan-style core CPI (ex. fresh food/institutional factors) (%pt)



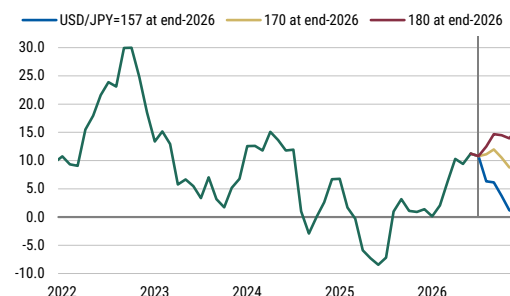
Source: Bank of Japan, MIC, Morgan Stanley Research

Exhibit 10: Decomposition of import price YoY growth (a hypothetical scenario in the case of USD/JPY remaining at JPY157 by end-2026) (% YoY)



Source: Bloomberg, Morgan Stanley Research

Exhibit 11: USD/JPY: Past YoY changes and illustrative examples of various scenarios ahead (% YoY)

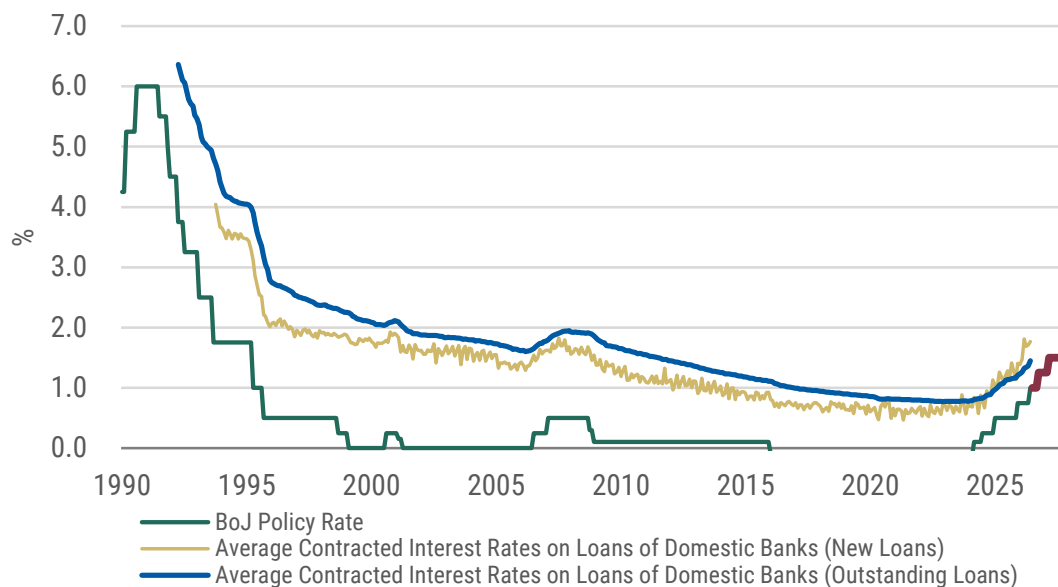


Source: Bloomberg, Morgan Stanley Research

Why is our policy rate forecast for end-2027 at 1.5%?

We believe underlying inflation is not as strong as the BoJ argues and expect momentum in Japan-style core CPI inflation to moderate in 2027. We expect the BoJ to assess more carefully the effects of past rate hikes on households and businesses before proceeding with further tightening, as we expect lending rates by domestic banks to rise with a lag during 2027. In addition, two Policy Board members are scheduled to be replaced in July 2027.

We also believe the inflationary impact of fiscal policy within 2027 will be limited. We expect the eventual size of net new fiscal stimulus (on a so-called real-water basis) to be smaller than currently assumed in official fiscal projections. Investment-related spending is likely to be spread over multiple years and, combined with a substantial natural increase in tax revenues, the resulting expansion of the fiscal deficit may prove relatively modest.

Exhibit 12: Delayed rise in average lending rates on outstanding loans

Note: The red portion of the policy rate path represents our forecast. Source: Bank of Japan, Bloomberg, Morgan Stanley Research.

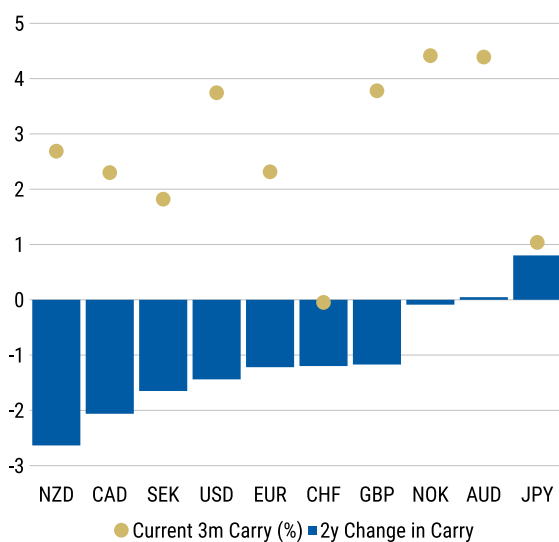
What Does JPY Intervention Mean for Broader FX?

David Adams

While JPY is clearly most impacted by the recent intervention activity, investors are keenly focused on potential spillovers to the broader FX landscape.

The clearest FX implication in the near term is a rotation in choice of funding currency away from JPY and toward alternatives – with EUR the most likely candidate, in our view. But more broadly, investor debate around the credibility of Fed policy and US currency policy both have the capacity to weigh on the broader USD via negative risk premium.

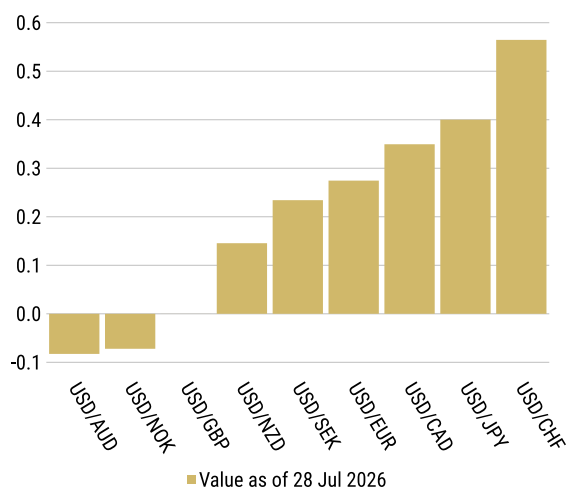
Exhibit 13: Japan is the only region to see its carry costs rise, but they remained the second lowest in the G10...



Source: Macrobond, Morgan Stanley Research

Exhibit 14: ... and the carry/vol remains attractive for carry trades despite the rise in front-end yields

3m Implied Carry/Vol for Long USD/CCY Positions



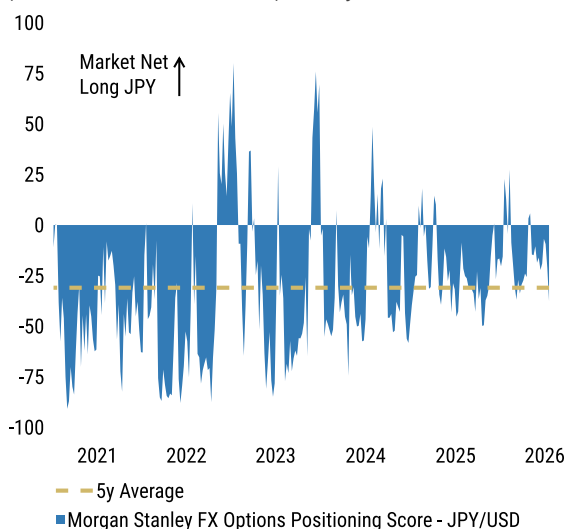
Source: Macrobond, Morgan Stanley Research

As explored [here](#), the build-up in JPY-funded carry positions has been a key market theme for a while now. While borrowing costs to fund in JPY have certainly risen, they have remained reasonably competitive, particularly on a vol-adjusted basis ([Exhibit 13](#) & [Exhibit 14](#)). The result is we estimate investors have maintained a net short position in JPY for most of the past few years ([Exhibit 15](#)).

Prior to this recent intervention, investors maintained a 'buy the dip' mentality under the assumption that intervention activity, while a clear risk to long USD/JPY positions, was a temporary phenomenon whose JPY-positive impact was unlikely to persist. But the combination of US participation, [clear signalling and references](#) to the FIMA repo pool by the JMoF implying greater potential for further intervention activity, have impacted investors' perceptions of the risk/reward of funding in JPY in the near term.

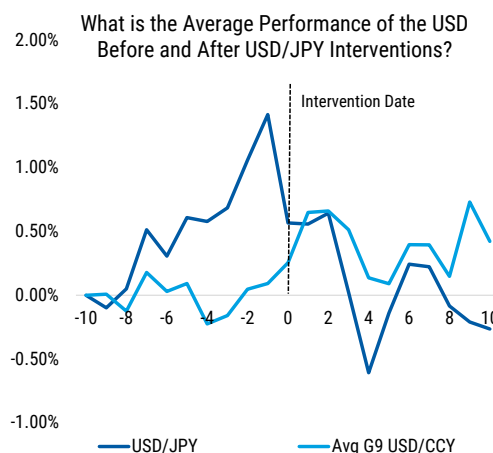
With carry demand remaining a key factor for FX investors, we think traders will rotate their funding currency of choice.

Exhibit 15: Investors have managed net short JPY positions for most of the past 5 years



Source: Macrobond, Morgan Stanley Research

Exhibit 16: We see little evidence of past spillovers from USD/JPY interventions...



Source: Japan Ministry of Finance, Bloomberg, Morgan Stanley Research

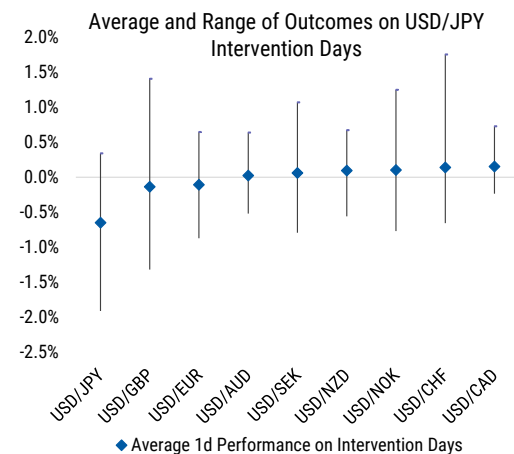
From a rate perspective, we believe CHF is the most obvious candidate given that it has the lowest cost of carry in the G10, though we think investors may eschew CHF funding both due to its lower liquidity but also risks of an unexpected safe haven bid thanks to CHF's status as the [most appealing safe haven currency](#). This helps explain why, despite its more attractive carry/vol profile, investors historically preferred funding in JPY over CHF.

Instead, we think EUR will be the natural candidate for most investors. While less attractive from a carry perspective, we think consensus remains fairly negative on the currency given concerns over low asset returns and growth as well as fiscal and political risks. While we think EUR/USD can rise – chiefly because of the USD weakness we expect – an overly-hawkish pricing for the ECB and the scope for [additional risk premium](#) associated with the French Presidential election should see EUR underperforming on crosses.

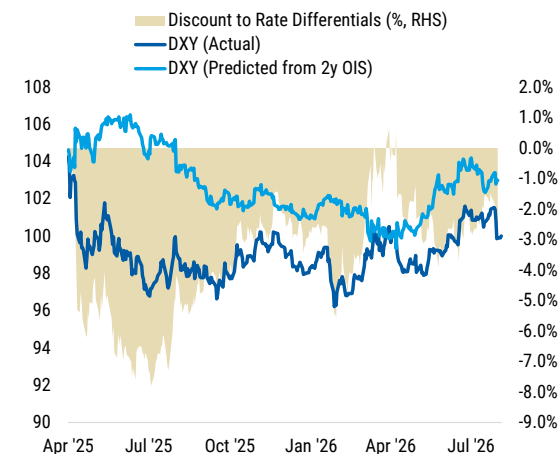
JPY interventions typically don't lead to broader FX spillover... Beyond a spillover into greater funding for carry trades in EUR, we think there remains scope for spillover to the USD, though it is not automatic.

After previous interventions in 2022 and 2024, we see little evidence of spillover from USD/JPY declines to the broader USD complex.

[Exhibit 4](#) shows the average performance of USD/JPY and the average of the other G9 crosses leading up to, and after, announced and inferred intervention dates. On average, while USD/JPY ends up on net lower in the days following the intervention, the USD on average is less impacted and if anything ends up *stronger* not weaker. The dates of the interventions in April/May 2026 have not yet been confirmed, but results are similar whether this period is excluded or included.

Exhibit 17: ... into broader USD crosses

Source: Japan Ministry of Finance, Bloomberg, Morgan Stanley Research

Exhibit 18: The USD has traded at a discount to rate differentials, partly reflecting increased risk premium in the currency

Source: Macrobond, Morgan Stanley Research

We see similar results when looking on the day of the intervention itself. [Exhibit 5](#) shows the average one day performance of USD/CCY on days of reported interventions. Beyond USD/JPY, we see little pattern or clear spillover into other USD crosses on the day.

... but outstanding risks related to US policy remain a key potential USD-negative catalyst: Still, the intervention has refocused investors on key questions:

- Does this impact the probability of a change in US currency policy?
- How involved was the Fed, if at all, and how does that impact perceptions of Fed independence?

Both of these matter because investors are highly sensitive to both these factors, and both have the capacity to turn a USD/JPY specific move into a broader and more substantial USD selloff.

The fact that Treasury intervened in EUR/JPY, rather than USD/JPY, suggests that they may recognize investors' sensitivity to this issue of currency policy, and may want to avoid being perceived as intervening to weaken the USD, as opposed to their stated goal of strengthening the JPY.

But ultimately, a change in currency policy remains a nonzero risk, and if investors refocus on this issue more concretely, that could add [USD-negative risk premium at the margin](#). Indeed, we've identified that the USD has traded at a discount to what rate differentials would imply using pre-'Liberation Day' data, which we think reflects risk premium that has increased in the currency.

And in terms of the Fed, how involved were they, if at all?

So far, [media seem to suggest](#) that the Treasury intervened unilaterally. [But historically](#) when we've seen FX interventions in the past like in 2011 or 2000, the Fed and Treasury intervened in tandem. Was the Fed asked to participate and did they say no? We have no confirmation either way.

The Fed could also get involved vis-à-vis the FIMA repo pool. [This is a New York Fed facility](#) and while it's a standing facility, it currently has a [per-counterparty outstanding limit of \\$60bn](#), which is less than what we [estimate](#) Japan spent on its interventions last week alone.

If Japanese policymakers want to use this facility in serious size or tweak the terms, the Fed's FX subcommittee, which is the Chairman, the Vice Chair, and the NY Fed President, would have the authority to accept or reject that request.

If they were to approve an increase in the counterparty limit, investors could view that as a signal of the Fed's at least tacit assent and participation.

Given Chairman Warsh's perceived preference for both a smaller Fed balance sheet and less of a footprint in financial markets, how he reacts will be an interesting signal, and if investors begin to price in greater risk premium of a more activist Fed willing to support Administration priorities, that could raise questions about its overall independence, and add risk premium to the USD as well.

What is the ESF? How much 'intervention firepower' does the US have?

The Exchange Stabilization Fund (ESF) is the US Treasury's FX intervention fund, over which it has broad legal authority to intervene in financial markets as it deems necessary. For a full summary of US FX intervention policy and how it works, [see this primer here](#).

The ESF holds many types of assets including intra-governmental assets, loans, IMF Special Drawing Rights (SDR) and special purpose vehicles. The majority of these assets are denominated in USD. While these in theory could be liquidated and converted to EUR, we believe that is unlikely given that the choice to sell EUR/JPY could be interpreted by the markets, we think, as greater tolerance for USD weakness.

The ESF's FX-denominated assets are in EUR and JPY. As of 1Q, the latest data release, the ESF held \$13.1bn worth of EUR assets, of which \$5.7bn were held in cash deposits, and the remainder held in securities, more than 80% of which are invested in French government securities, and the remainder in Dutch and German securities. The average duration of the portfolio is 20 months.

Beyond that, Treasury could raise additional EUR through a couple of channels. One is through issuing EUR-denominated debt. There is historical precedent for this; [in 1979, the US Treasury issued](#) debt denominated in CHF and DEM to help rebuild its reserves for intervention to support the USD. This option is limited in size by market demand for these securities.

Another option is using its SDRs to increase its EUR holdings. Typically, countries can offer to sell their SDR through an IMF-facilitated Voluntary Trading Agreement wherein the IMF can match the ESF with one or more official buyers, who can exchange EUR reserves they hold in exchange for the SDR. The IMF also permits SDR holders to swap these holdings bilaterally at a pre-agreed upon exchange rate, reversal rate, and time period.

In gross terms, the US has an [SDR position as of June](#) of \$172bn, or about SDR 127bn. But also a SDR liability of \$156bn, or about SDR115bn. The SDR is a basket

of five currencies (USD, EUR, CNY, JPY and GBP) and the EUR share is 1 SDR = EUR 0.374. The result is that the gross stock of SDRs could theoretically be exchanged for EUR150bn, but after netting, SDR liquidation could raise an additional EUR 4.3bn or so. A monetization of a greater amount would lead the US to run a net short SDR position which, while allowable, may not be desirable.

Both raising debt and monetizing SDRs would be substantial steps. Both are relatively unprecedented in recent history and would be taken by investors as a strong signal of intent by the ESF. But at the same time, it would also prompt investors to ask about the goals and aims of US currency policy. We think such questions could prove counterproductive for the Treasury's ultimate goals via this recent intervention.

The result is that, while there are avenues for the ESF to raise far more EUR than the outright EUR12bn they have on hand, we think the costs of such a material change in policy may exceed the potential benefits of additional intervention to support the JPY.

US Economics & US Rates Strategy

Contribution by Diego Anzoategui and Martin Tobias, CFA, CMT

Key drivers of our inflation and Fed call

Markets are currently pricing more than one Fed hike this year, a view that broadly aligns with the latest Fed projections. The June Summary of Economic Projections showed a hawkish distribution of dots and there were three voters that dissented favoring a hike in July, reinforcing the perception that the Committee sees inflation risks as persistent.

In contrast, we expect the Fed to remain on hold through the rest of the year, potentially followed by two cuts in 2027 as inflation gradually normalizes. The main source of this divergence is our more sanguine view on the inflation outlook relative to both markets and the Fed. On net, and following the release of June PCE inflation, our forecast of 4Q/4Q headline and core PCE inflation of 3.3% and 3.1%, respectively, this year is substantially below the median FOMC participant.

We see several reasons why inflation is likely to evolve more benignly than the Fed's projections imply:

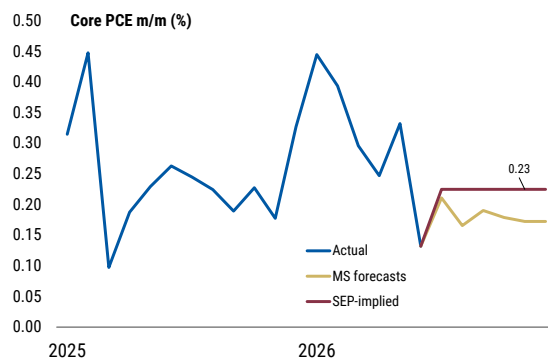
1. **Tariff-related price pressures are nearing completion and shelter inflation should continue to decelerate.** Our models indicate the pass-through from tariffs is close to being done, suggesting core goods inflation should gradually normalize and contribute to a broader disinflationary trend. As we [highlighted](#), the final forced-labor Section 301 tariffs introduced recently do not materially alter our outlook for core goods inflation. The new duties took effect as the temporary Section 122 tariffs expired, reversing a temporary decline in the effective tariff rate and bringing the overall tariff burden back to roughly where it stood at the start of the year. In terms of shelter inflation, leading indicators suggest continued disinflation in CPI rent of primary residence and OER the rest of the year.
2. **Core services ex-housing tend to show a clear seasonal pattern after COVID with strong sequential inflation in 1Q and deceleration in 2H**, which reflects a clear problem with the seasonal adjustment the Fed currently uses. We expect that seasonality to play out this year too.
3. **We believe FOMC projections may be overstating inflation pressures.** March forecasts were formed shortly after the onset of the conflict, when the duration and magnitude of the shock were uncertain. In June, projections were likely formed before the effects of the US–Iran MOU fully took hold. As a result, headline inflation projections – many of which fall in the 3.5% to 4.2% range – may not fully reflect the subsequent decline in energy prices.
4. **The Fed's projections implicitly assume monthly inflation rates similar to those observed during April–December 2025, when tariff pass-through and elevated shelter inflation were still pushing inflation higher.** In contrast, we expect monthly core inflation to run closer to 0.20% or below, supported by goods disinflation, moderating shelter, and residual seasonality effects in the second half of the year.

Finally, the macro backdrop on the real side of things should support a patient Fed.

Recent payroll gains likely reflect a catch-up effect rather than sustained strength. We therefore expect continued normalization in employment gains the rest of the year, which should reduce the need for additional tightening.

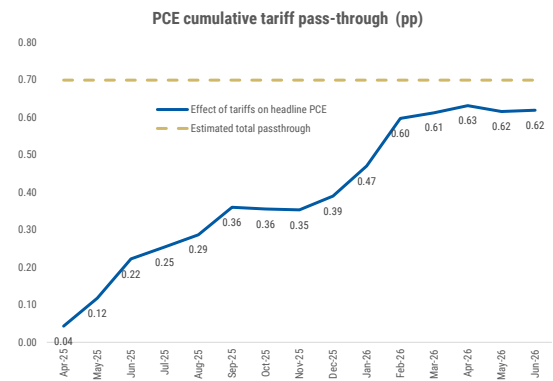
- Taken together, these factors point to a lower inflation path than that embedded in the SEP, allowing the Fed to remain on hold despite the recent hawkish signals.

Exhibit 19: We see more disinflation ahead than the Fed...



Source: BEA, Federal Reserve, Morgan Stanley Research

Exhibit 20: ... and a key driver is normalization in core goods



Source: BEA, Morgan Stanley Research

Upcoming changes to the National Economic Accounts introduce an additional source of downside risk to inflation.

The BEA's annual update, to be implemented on September 30, includes methodological changes to the measurement of PCE prices, with effects likely applied retroactively. The most important change relates to software prices, where the BEA will move from a CPI-based deflator to a composite index that incorporates both CPI and PPI measures. Given that CPI software inflation has risen sharply while relevant PPIs have been much flatter, this change could lower measured core PCE inflation.

Based on the recent divergence between these indices, core PCE inflation could be reduced by as much as 20bp y/y, depending on the weights assigned in the new methodology.

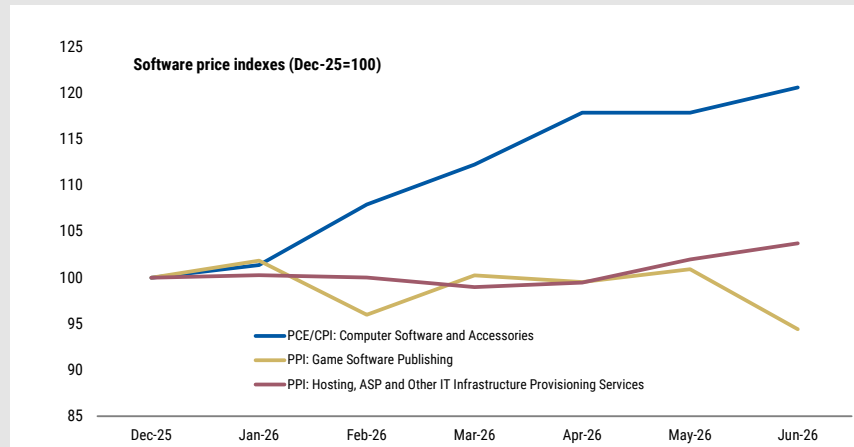
Other changes are more modest. A shift to PPI-based measures for legal services may add slightly to inflation, partially offsetting the software effect. The planned changes to portfolio management and investment advice might add additional downward risk, but we think the series will remain volatile and correlated with stock returns.

Overall, the balance of these revisions points to downside risk for core PCE inflation in 2026, further supporting our expectation that the Fed can remain on hold and eventually move toward easing.

See more details here: [U.S. Data Pulse: Annual national accounts update may add downside risks to PCE inflation \(26 Jun 2026\)](#).

Exhibit 21:

The inclusion of PPI indexes to calculate software PCE inflation will likely bias down PCE inflation year to date



Source: BEA, BLS, Morgan Stanley Research

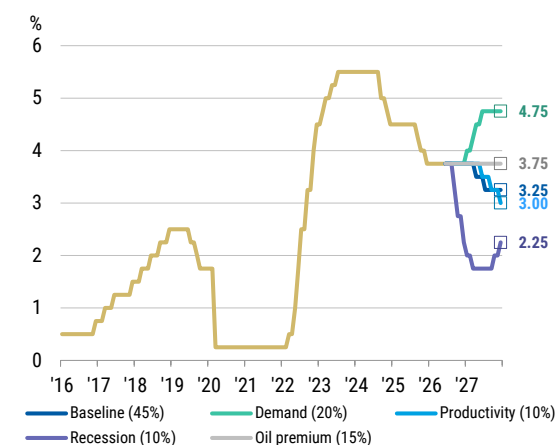
Maintain yield curve steepeners

Despite a slate of June data that consisted of soft payrolls and broad disinflation, market pricing still implies almost 50bp worth of rate hikes by June 2027.

- Market pricing for rate hikes remains entrenched, even after Fed Chairman Warsh hinted that sufficient tightening financial conditions were enough for the Fed to forgo a rate hike at the July FOMC meeting.

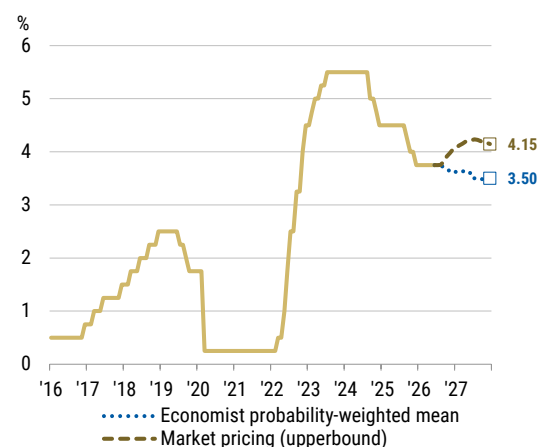
Indeed, the market-implied path of Fed policy remains over 50bp above how our economists view the average path for policy (see [Exhibit 22](#) and [Exhibit 23](#)).

Exhibit 22: Target fed funds range upper bound and Morgan Stanley US Economics baseline forecast and four alternative scenarios



Source: Morgan Stanley Research estimates, Federal Reserve, Bloomberg

Exhibit 23: Target fed funds range upper bound and economist-assigned probability-weighted mean versus market pricing

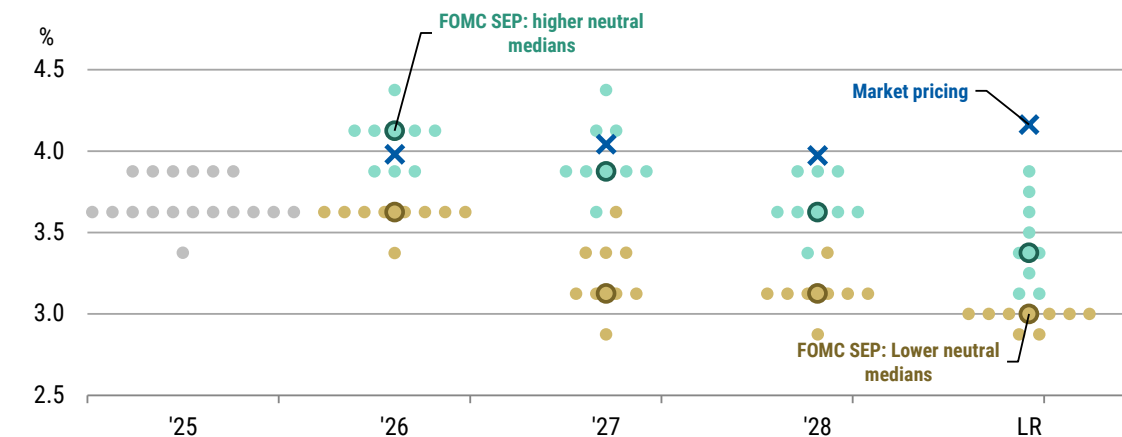


Source: Morgan Stanley Research estimates, Federal Reserve, Bloomberg

To us, this substantial risk premia embedded in market pricing skews the risk-vs-reward in the direction of a lower market-implied path of Fed policy.

Indeed, market prices appear even more hawkish than the median participant within the more hawkish camp on the FOMC, and significantly more hawkish than the median participant within the more dovish camp on the FOMC (see [Exhibit 24](#)).

Exhibit 24: (1) FOMC participants' assessments of appropriate monetary policy: midpoint of target range or target level for the federal funds rate: June 2026; (2) medians of those with a higher long-run neutral dot versus those with a lower long-run neutral dot; and (3) market pricing



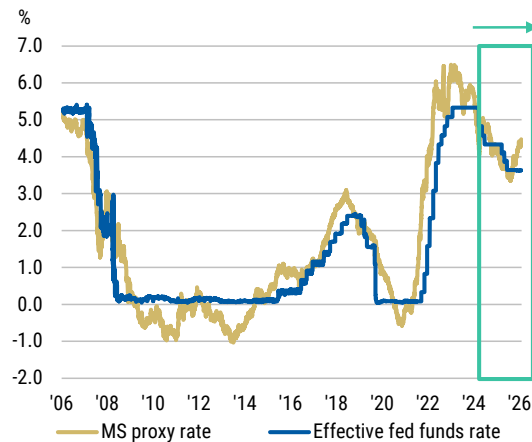
Source: Morgan Stanley Research, Federal Reserve, FRB NY, Bloomberg

We imagine the current market-implied path of Fed policy represents a tightening of financial conditions that likely weighs on the mind of Chairman Warsh.

- In the absence of rate hikes – our baseline view for reasons outlined above – we think this 100bp of effective rate hikes via tighter financial conditions is overdone.

Outside of normal times like the Great Financial Crisis (GFC) and Great Covid Recession (GCR), the spread between the proxy funds rate and the effective funds rate has historically remained within a +/- 100bp band (see [Exhibit 25](#) and [Exhibit 26](#)).

Exhibit 25: Morgan Stanley proxy effective fed funds rate and actual effective fed fund rate since July 2006



Source: Morgan Stanley Research, Federal Reserve Bank of San Francisco, Bloomberg

Exhibit 26: Morgan Stanley proxy effective fed funds rate and actual effective fed fund rate since July 2024



Source: Morgan Stanley Research, Federal Reserve Bank of San Francisco, Bloomberg

As such, we see the current spread between these rates as a risk premium ripe for investors to monetize if our economists' baseline view plays out.

In the view of our economists, inflation should come in lower than consensus expectations. And, in our view, that should keep the yield curve steepening.

- If inflation is higher than consensus expects, we think the yield curve flattens.

But if inflation comes in close to consensus expectations – which sit higher than those of our economists – we think the odds would favor a steeper yield curve until Chair Warsh clarifies his comments relating to the inflation goal post.

- **Trade idea: Maintain UST 7s30s steepeners, DV01 neutral, at 70bp with a target of 100bp and a trailing stop of 58bp.**
- **Trade idea: Maintain long 2-year (Sep '27) UST SOFR swap spreads at -10.4bp with a target of -9bp and a trailing stop of -13.5bp.**
- **Trade idea: Maintain SFRM7M8 curve steepeners at -13.5bp with a target of -4bp and a trailing stop of -20bp.**

Fed balance sheet facilities

Martin Tobias, CFA, CMT

On behalf of the Federal Reserve System, the New York Fed provides US dollar-denominated banking services for foreign central banks and monetary authorities to facilitate the execution of public-sector mandates, such as reserve management, international relief and assistance, and financial stability.

- There are over 200 account holders that maintain more than 550 deposit and custody accounts at the New York Fed; foreign central banks and monetary authorities hold the vast majority of these accounts.

To support foreign official institutions' fund and liquidity management, the New York Fed offers the **FIMA reverse repo pool** – an overnight investment service – and operates the **standing FIMA Repo Facility**, a US dollar liquidity backstop.

What is the FIMA reverse repo pool?

The FIMA reverse repo pool allows foreign official and international account holders to invest certain US dollar cash balances overnight through reverse repurchase transactions against securities held in SOMA.

The domestic ON RRP offering rate is 3.50%, the lower bound of the fed funds target range. The domestic ON RRP helps support effective control of the fed funds rate and reinforces a floor under overnight rates.

The pool's return is generally equivalent to the domestic ON RRP rate, although the New York Fed may vary the return at any time without prior notice.

This rate flexibility reflects different objectives. The domestic ON RRP is a monetary policy implementation tool, whereas the FIMA reverse repo pool is an investment and cash-management service for foreign official account holders.

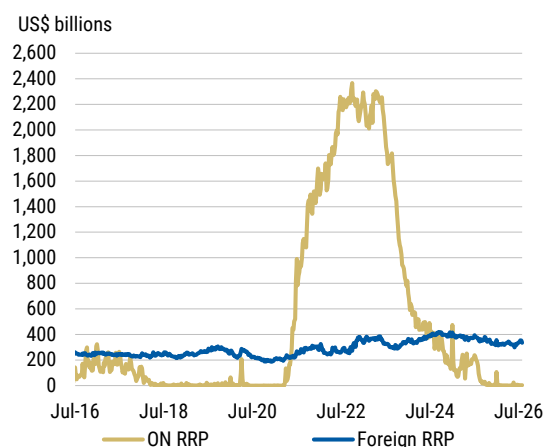
The New York Fed does not publicly specify an account limit for the FIMA reverse repo pool analogous to the domestic ON RRP's \$160bn per counterparty limit.

Foreign and domestic reverse repos are liabilities of the Fed. All else equal, increased RRP uptake shifts the composition of liabilities away from reserves to reverse repos and vice versa.

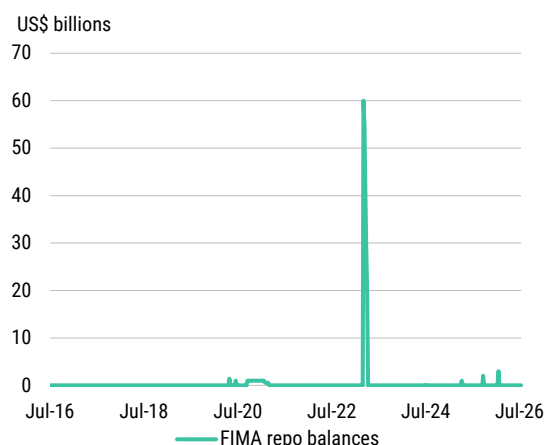
These movements affect the supply of reserves, but should not automatically be interpreted as a change in monetary policy stance.

On July 29, 2026, the H.4.1 release reported \$334.5 billion of reverse repurchase agreements with foreign official and international accounts (see [Exhibit 27](#)).

The pool also gives official institutions a secured Federal Reserve counterparty alternative to holding unsecured dollar deposits at commercial banks.

Exhibit 27: Domestic ON RRP and Foreign ON RRP utilization over the last decade

Source: Morgan Stanley Research, Federal Reserve H.4.1

Exhibit 28: FIMA repo facility utilization over the last decade

Source: Morgan Stanley Research, Federal Reserve H.4.1

What is the FIMA repo facility?

The FIMA repo facility was introduced as a temporary backstop in 2020 during the Covid-19 turmoil amid foreign official institutions' substantial sales of Treasury securities to obtain dollar liquidity, which contributed to strains in Treasury market functioning. The Federal Reserve made it a standing facility in 2021.

FIMA repo is a standing facility by which eligible foreign central banks and monetary authorities can obtain temporary access to US dollars via repurchase agreements against Treasury securities held in custody at the New York Fed.

By creating this dollar liquidity backstop, the FIMA repo facility is designed to help address pressures in global dollar funding markets that could otherwise affect financial market conditions in the US.

Each approved counterparty is subject to a \$60bn total outstanding limit at any given time, with actual borrowing also constrained by the margined value of eligible Treasury securities held in custody at the New York Fed.

Its role as a liquidity backstop supports market functioning as it offers an alternative funding source other than sales of Treasuries in the open market.

Unless the Foreign Currency Subcommittee establishes a different rate, overnight FIMA repo transactions are conducted at the domestic standing repo rate (at present 3.75%). Seven-day term transactions are priced at one-week OIS + 25bp.

Because its pricing is normally above private repo rates in well-functioning markets, the facility is designed primarily as a backstop and would generally be expected to see material usage during periods of unusual dollar-funding or market stress. Small transactions may reflect operational testing (see [Exhibit 28](#)).

FIMA repo is on the asset side of the Fed balance sheet as a repurchase agreement with a foreign official account. In the transaction, the Fed credits the institution's deposit account. When those dollars are transferred into the banking system or used in an FX transaction, reserve balances rise an equal amount, all else equal.

Connection to FX intervention

A central bank or foreign monetary authority that holds deposits in the foreign RRP pool already has access to US dollars. Therefore, a reduction in their pool investment would convert an overnight reverse repo position into deposit balances.

- That cash could then be used for intervention in the spot FX market, selling US dollars and buying its local currency.
- H.4.1 data do not disclose Japan's individual FIMA reverse repo pool balance.

A central bank or foreign monetary authority may also hold US dollar reserves in Treasury securities held in custody at the New York Fed, rather than in cash.

Accessing the FIMA repo facility allows the foreign official account to temporarily obtain US dollars against those Treasuries, without selling them outright.

- The dollars could then be used for intervention in the spot FX market – the facility's terms do not specify a general use of proceeds restriction.

We think explicit reference to [plans](#) to utilize the FIMA repo facility by Japan's Ministry of Finance enhances deterrence against "speculative" positioning in USD/JPY, but the opportunity cost of using the facility rather than deploying existing FIMA reverse repo pool balances makes material utilization less likely.

Larger scale

We think public signaling of prospective FIMA use raises the perceived scale and timing flexibility of Japan's mobilizable dollar liquidity. This increases risks in positioning for USD/JPY to move further away from fair value, even if actual usage remains limited.

- An increase in the current \$60bn cap would further raise that perceived intervention scale, while reducing the potential need for outright Treasury sales.

This could be one reason why Treasury Secretary Bessent made the following [statement](#):

"The FIMA Repo Facility is an important backstop. We would encourage it to be upsized in the coming months."

Advocacy to increase the FIMA repo facility counterparty limit size from \$60bn is a step to making the size of potential intervention, not known ex-ante. This is a stronger deterrent against speculative activity, which can have spillover effects on the Treasury market. Yet, authority over the facility's operational parameters rests with the Federal Reserve.

Flexibility

In announcing plans to access the FIMA repo facility, the MoF introduced more flexibility to its existing capabilities for FX intervention.

Should the MoF prefer to use proceeds from coupon or bill settlements – not cash at the foreign RRP pool – it would not be constrained to settlement dates to fund intervention.

Accessing the FIMA repo facility would allow flexibility to fund intervention before a coupon or bill settlement date and then allow proceeds from that settlement to close the transaction with the Fed.

- However, because standard FIMA terms are overnight or seven calendar days, bridging a longer period would require the transaction to be rolled over.

Economics

Assuming foreign official accounts own the dollars at the foreign RRP pool and earn an offering rate of 3.50%, if a foreign official account did not exhaust the cash it has allocated at the foreign RRP pool before paying a rate of 3.75% on the FIMA repo facility to obtain temporary cash, the opportunity cost of preserving the cash buffer would be 25bp.

Given these economics and the fact that pricing for FIMA repo facility is normally above private repo rates in well-functioning markets, we think this makes it unlikely there is a material increase in utilization by foreign official accounts for purposes of FX intervention.

Conclusions

Japan's announced plan to use the FIMA repo facility increases the scale and timing flexibility of dollar liquidity it can mobilize without selling Treasury securities outright.

- An increase in the current per-counterparty cap would raise the potential FIMA-funded intervention size, but borrowing would remain constrained by the revised cap and the margined value of eligible Treasury collateral.

Assuming the FIMA reverse repo pool currently returns 3.50%, overnight FIMA borrowing at 3.75% while preserving pool cash would entail 25bp of annualized negative carry. This creates a bias toward using existing cash first where operationally available.

We think the FIMA repo facility is a complement to the Fed's standing central bank liquidity swap lines because it provides secured dollar liquidity against Treasury collateral to a broader set of eligible foreign official account holders.

Remain Overweight on Japan Equities Despite FX Intervention

Sho Nakazawa, Kazuya Hayashi, Jonathan Garner, Daniel Blake

Bullish view on Japanese equities unchanged following FX intervention: We maintain our Overweight (OW) stance on Japanese equities. Our end-June 2027 TOPIX target is 4,300, implying approximately 8% upside from current levels.

The key risks to our bullish view on Japanese equities are not the FX intervention itself. More important risks are a slowdown in the global economy, an escalation in geopolitical tensions, and higher energy prices.

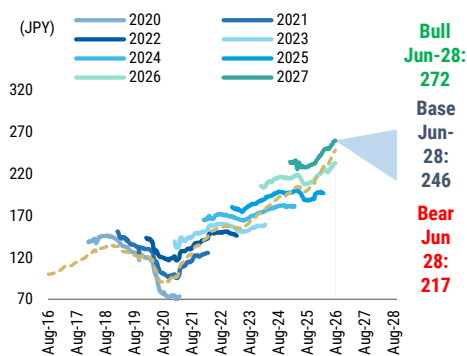
Domestic reflation and the global capex cycle are driving earnings upgrades: Japanese corporate earnings forecasts have been consistently revised higher since the beginning of the year. This has been supported by progress in domestic reflation, which is benefiting sectors such as banks, real estate and construction, as well as by a global capital expenditure (capex) supercycle centred on semiconductors, technology, capital goods and industrial machinery. In June in particular, earnings upgrades broadened across a wide range of sectors, with the breadth of revisions ranking among the strongest across the major markets under our coverage.

Yen appreciation headwinds are already reflected in our forecasts: Over the past several months, USD/JPY trading above 160 provided some support to consensus earnings expectations. A further correction towards a stronger yen could create a modest headwind to earnings forecasts. However, our estimates already incorporate a scenario in which USD/JPY returns to the low-150s.

On this basis, we forecast TOPIX earnings per share (EPS) of ¥235 as of December 2027 and ¥240 for the fiscal year ending March 2028. We assume annual earnings growth of approximately 9% going forward. These forecasts are below consensus estimates of ¥253 and ¥260, respectively, indicating that our assumptions are relatively conservative.

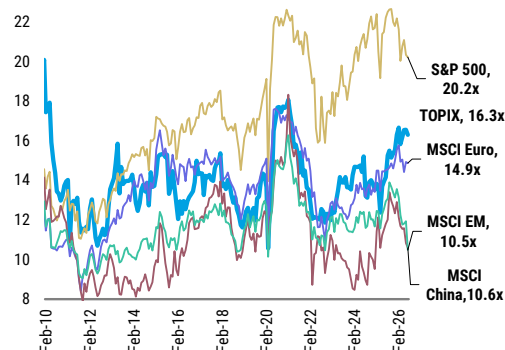
Japanese equities remain attractively valued even on conservative earnings forecasts: Based on consensus estimates, TOPIX is trading at approximately 15.6x December 2027 earnings. This remains an attractive valuation relative to major global and Asian markets. In addition, the structural improvement in Japanese corporate return on equity (ROE), together with continued retail inflows into Japanese equities through the new NISA programme, should provide medium-term support.

Exhibit 29: TOPIX and consensus EPS



Source: Bloomberg, FactSet, IBES, Morgan Stanley Research

Exhibit 30: 12M fwd P/E: Major equity indices

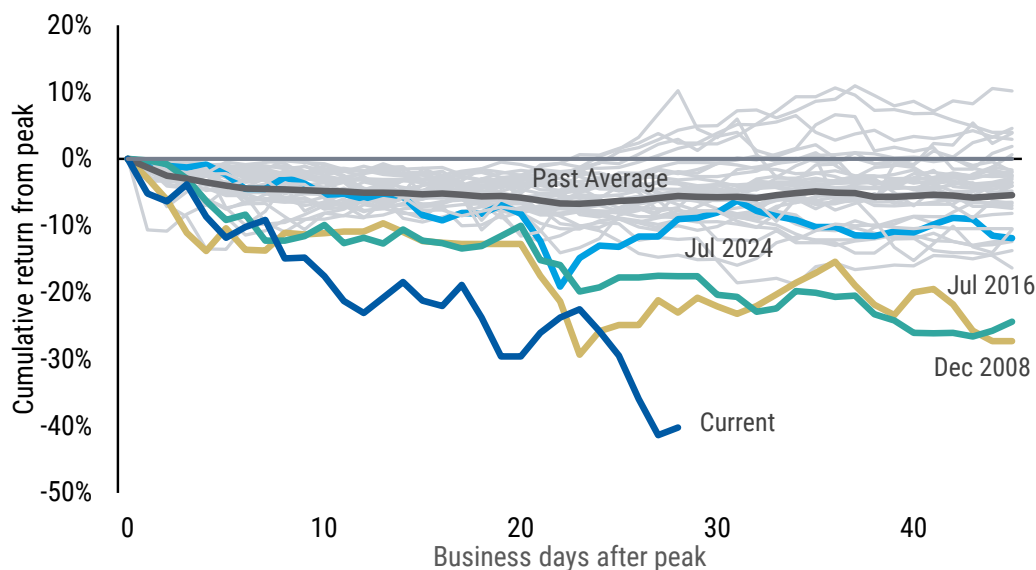


Source: Bloomberg, FactSet, IBES, Morgan Stanley Research

Momentum has collapsed, while TOPIX has remained stable: Another important point is that leverage and positioning imbalances in the Japanese equity market are not as extreme as in August 2024, when a sharp appreciation of the yen triggered large-scale position unwinds. Indeed, both during the July 2026 correction and on the first trading day following the latest FX intervention, Japanese equities were relatively stable compared with other Asian markets, particularly Korea. In Korea, the effects of momentum unwinds and deleveraging have been more pronounced.

That said, factor-level moves within the Japanese market have been exceptionally large. The price momentum strategy has fallen 36% since July, with its 21-trading-day return ranking in the bottom 0.2% of the past 30-year distribution. Volatility has also risen to the top 0.3% of the distribution since 1995. Breaking down the performance, losses were 20% on the long side, which holds past winners, and 16% on the short side, which shorts past losers. The pullback on the long side, including AI- and technology-related names, was relatively more severe. At the same time, rotation into value and low-risk stocks widened the return gap between individual stocks, or dispersion. Despite this intense factor rotation, however, overall TOPIX volatility remained limited.

Exhibit 31: Japan: MSJMMOMO selloffs since 2007 (peak on 2026-06-22, 28 business days ago)

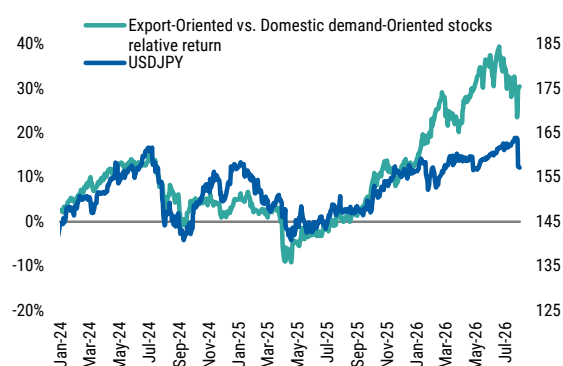


Source: Bloomberg, Morgan Stanley Research

No typical “stronger yen equals risk-off” pattern: If FX intervention is conducted again, short-term trades based on individual stocks’ currency sensitivity could become more effective. However, despite the sharp decline in USD/JPY following the latest intervention, domestic defensive stocks were not bought indiscriminately. In other words, the Japanese equity market did not exhibit the typical “stronger yen equals risk-off” pattern.

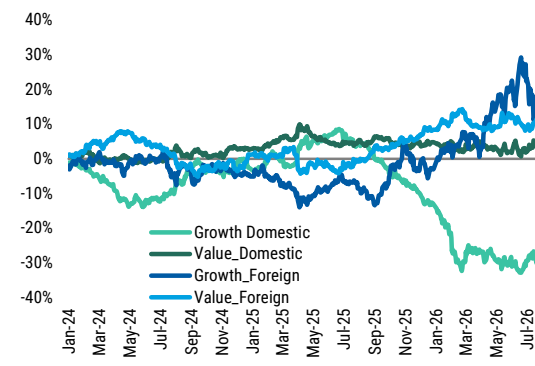
This suggests that recent market volatility has been driven more by momentum unwinds, deleveraging and position adjustments than by the currency move itself. Given the extent of the recent decline in the momentum factor, this adjustment may already be approaching its final stages.

Exhibit 32: Export- versus domestic-oriented relative returns & USD/JPY



Note: Export-oriented = Autos & Transport Equip., Steel & Nonferrous, Machinery, Electric Appliances & Precision, Trading Cos. & Wholesale. Domestic oriented = Foods, Construction & Materials, Info & Comms/Services & Others, Transport & Logistics, Retail. Source: Bloomberg, Morgan Stanley Research

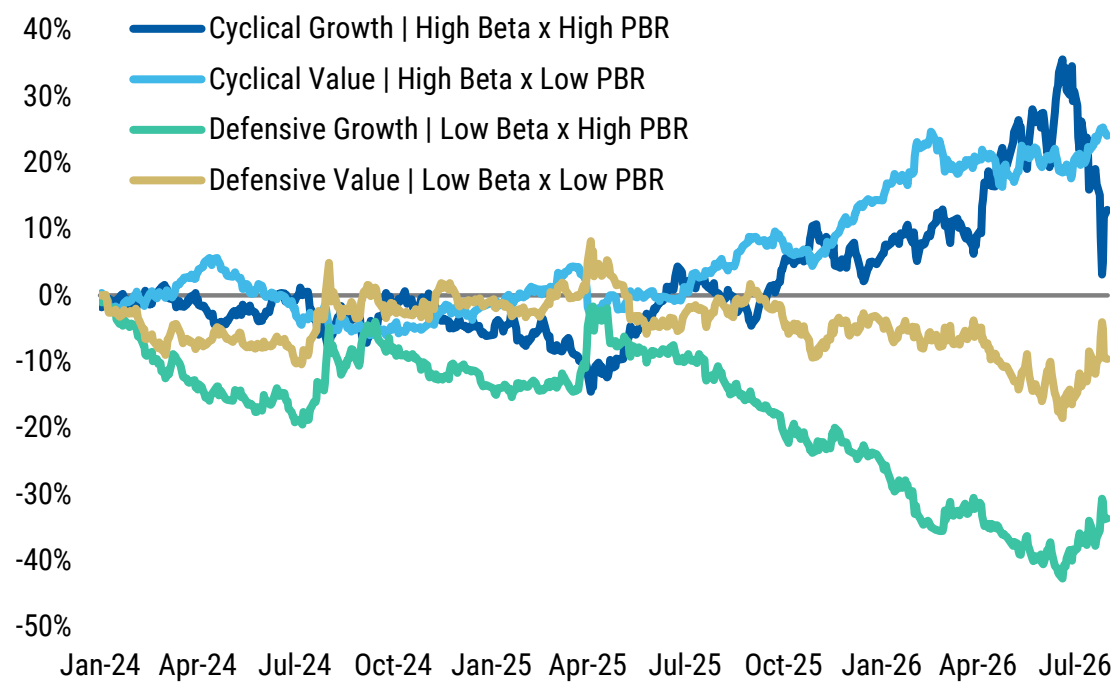
Exhibit 33: Excess returns versus TOPIX by domestic/export and value/growth



Note: Universe is TOPIX500. Export-oriented = Autos & Transport Equip., Steel & Nonferrous, Machinery, Electric Appliances & Precision, Trading Cos. & Wholesale. Domestic-oriented = Foods, Construction & Materials, Info & Comms/Services & Others, Transport & Logistics, Retail. Value = high B/P tertile within the universe; Growth = low B/P tertile within the universe. Cumulative excess returns vs. TOPIX since 2024. Source: Bloomberg, Morgan Stanley Research

Coordinated US-Japan intervention could support BOJ normalisation: If the Japanese authorities seek to stabilize the yen with US cooperation, it would become more difficult to maintain an accommodative monetary policy stance that runs counter to that objective. In this sense, coordinated US-Japan intervention could indirectly support Bank of Japan policy normalisation and raise market expectations for further rate hikes.

Against this backdrop, the recent volatility in the FX market should be viewed less as a reason to downgrade Japanese equities and more as creating selective investment opportunities. As discussed in [Sho-Time: AI Revived, Value Alive](#), we believe investors should focus on cyclical growth stocks that have corrected sharply despite resilient earnings, as well as cyclical value stocks that are benefiting from AI-related investment but for which market expectations remain relatively low.

Exhibit 34: Cumulative excess returns versus TOPIX by Beta x P/B in the TOPIX 500 universe

Note: At each month-end, stocks are ranked separately by beta, based on 252 trading days, and P/B, with the top and bottom 30% selected. TOPIX is used as the market return. Calculated using monthly rebalancing and equal weighting. Source: QUICK, Bloomberg, Morgan Stanley Research

Valuation Methodology and Risks

Below, you will find a list of our current trade ideas, entry levels, entry dates, rationales, and risks.

Interest Rate Strategy				
TRADE	ENTRY LEVEL	ENTRY DATE	RATIONALE	RISKS
Long 2y (Sep '27) UST SOFR swap spread	-21.6bp	10/3/2025	We expect softer funding conditions and a steepening of the very front end to cause swap spreads in the front end to widen given recent relationships.	Risks to the trade include firmer funding than expected or a stabilizing job market.
7s30s curve steepener	63bp	7/2/2026	Recent labor data are not consistent with an overheating economy, reducing the risk of near-term Fed rate hikes. Softer trends of inflation data likely continue the trend of more rate hike risk premium to be priced out.	The main risk is if inflation data reignites hawkish Fed tail risks
SFRM7M8 curve steepener	-19.0bp	7/2/2026	Recent labor data are not consistent with an overheating economy, reducing the risk of near-term Fed rate hikes. Softer trends of inflation data likely continue the trend of more rate hike risk premium to be priced out. We think that allows for more outperformance of M7 relative to M8, after underperformance over the past three months when hawkish tail risks dictated pricing of Fed policy. M7M8 steepeners also better complement our core UST 7s30s steepener view.	The main risk is if inflation data reignites hawkish Fed tail risks

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(as of July 31, 2026)

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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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